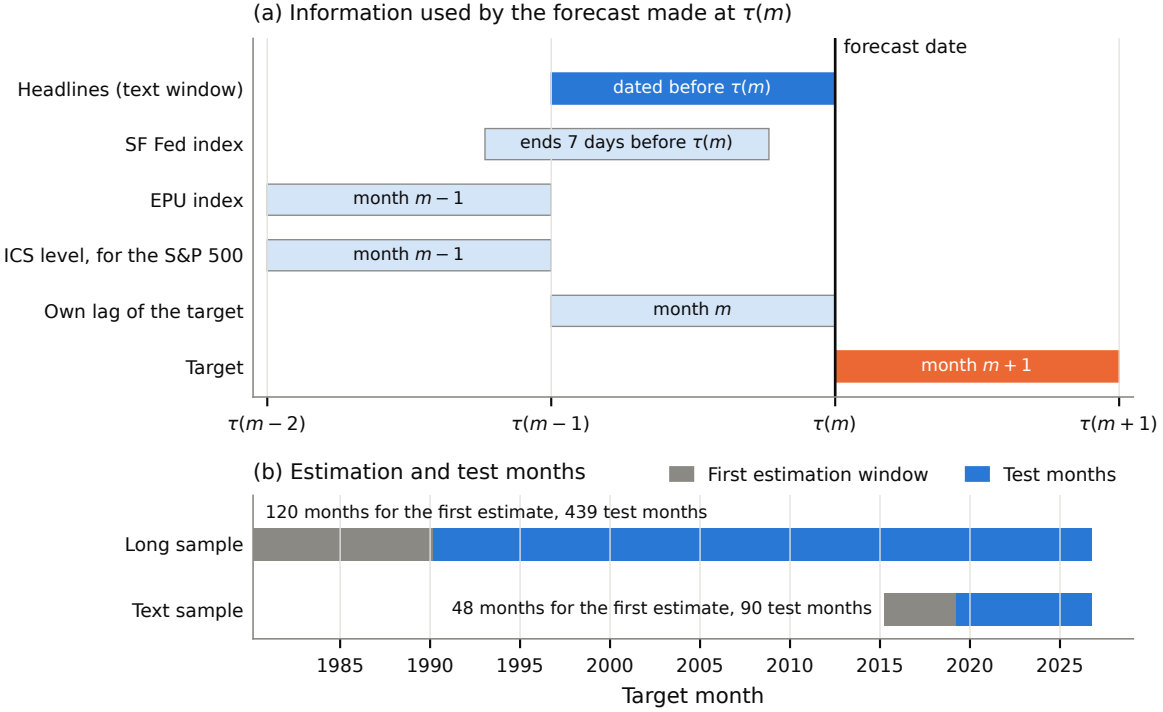
(a) Information used by the forecast made at $\tau(m)$
forecast date
Headlines (text window)
dated before $\tau(m)$
SF Fed index
ends 7 days before $\tau(m)$
EPU index
month $m-1$
ICS level, for the S&P 500
month $m-1$
Own lag of the target
month m
Target
month $m+1$
$\tau(m-2)$
$\tau(m-1)$
$\tau(m)$
$\tau(m+1)$
(b) Estimation and test months
First estimation window
Test months
120 months for the first estimate, 439 test months
Long sample
Text sample
48 months for the first estimate, 90 test months
1985
1990
1995
2000
2005
2010
2015
2020
2025
Target month